

“This should find support at 18.50 to 20 from the horizontal consolidation region in June–July 2003.”

I show the support region at D, a horizontal move loosely defined by the two horizontal lines. The top of this region matches the drop near A exactly. I show that with horizontal line F. It marks the start of support.

“Since price has closed at the daily low, that suggests a lower low Monday but perhaps, a higher close. It could continue spinning down. It's broken below trendline support, the line starting in May 2003 and connecting the August and December lows.”

I show the trend with line G. It connects the three lows mentioned in my notebook. Price closed below the line the day before B. Notice the high volume as price bottomed near B.

I sold half my position at the opening price at B and received a fill at 20.77. I made 17% and 30% on two positions that I bought just over a year earlier (based in part on fundamentals).

The technical picture showed a lot of support at or near B (a long-term upward price trend, the horizontal consolidation region at D and line F) and yet indications of a further decline (downward breakout from the three falling peaks pattern, confirmed head-and-shoulders top, busted diamond bottom, breaking trendline G support).

The sale was a spectacularly bad call. The downward breakout from the three falling peaks pattern busted and the stock doubled in just over a year.

You're either laughing that I made such a bad trade or your jaw is hanging open. Imagine how good I'd look if the stock continued lower. Fortunately, I had the other half of my shares to play with.

- Lesson: Before selling, try to estimate how far price will fall. I did that for this trade, but the stock ignored it.

Sample Trade

Consider how Melody traded the stock shown in [Figure 61.6](#). The day after the stock staged an upward breakout from the December–February trading range (a rectangle top pattern), she bought, receiving a fill at 20. She did not